

bids are expected in the second quarter of FY25 after a lull in awards during the first quarter because the Model Code of Conduct for the General Elections was in place.

“The NHAI is focussing on the award of contracts on a BOT basis and projects worth over ₹44,000 crore with a combined length of over 900 km [are] in the pipeline for award in FY25,” NHAI sources say.

GROWING INTEREST

Even with the revision in the policy, it's the big guns in the construction sector that are expected to shop for BOT projects. According to industry experts, BOT is not for small-time players looking for quick returns. Only sensible players who understand the risks involved with long-term projects will invest.

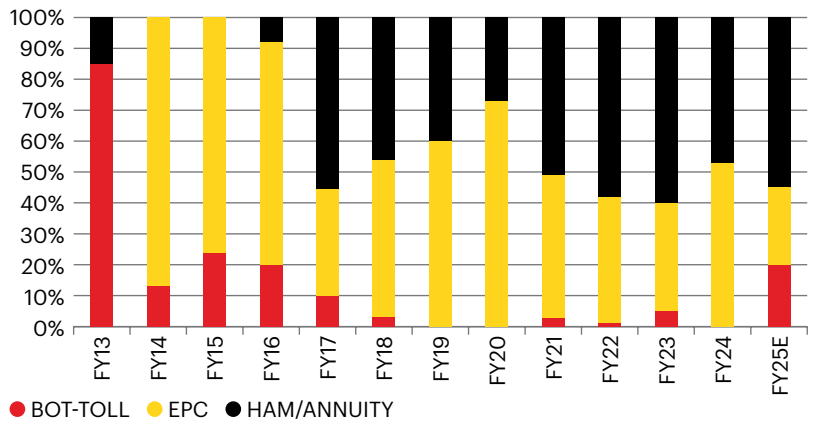
That is where firms like IRB Infra, GR Infraprojects, and PNC Infratech come in. Anand Rath, CFO at GR Infraprojects Ltd, says, “The HAM model has been successful, and it may take four to five years before BOT could also be termed a success. This will certainly depend on how proactive NHAI will be in getting all the required clearances.”

The company will bid for BOT projects keeping in mind profitability and hopes that the NHAI will facilitate all clearances, including forest and environmental ones. The BOT projects have a high debt component of 70%, and a delay in land acquisition and regulatory clearances, coupled with high interest rates, ends up escalating project costs.

While a majority of private players look at HAM projects as the best choice, keeping in mind the 40% capital support from the government, IRB has decided to stay away

BOT TO BOUNCE BACK

● BOT projects lost traction between 2012 and 2018 due to increasing debts and delayed projects ● BOT is expected to return as a key mode of highways award in FY25 with government's push



● BOT-TOLL ● EPC ● HAM/ANNUITY
E ESTIMATE; SOURCE MINISTRY OF ROAD TRANSPORT AND HIGHWAYS, IND-RA

from this mode and rather focus on BOT construction. HAM remained the preferred mode of award, constituting around 55% of the total projects awarded during FY21-24.

“Over the last three decades, IRB Infra has gathered rich domain knowledge and expertise to develop BOT projects of any size for all geographical terrains,” says Yadav. He points out, “We were entrusted to operate and manage India’s first BOT project, the Bhiwandi Bypass project on the Mumbai-Agra Highway [in 1998], and it was handed back after the successful completion of the concession.” The company has an order book of ₹35,000 crore.

The optimism stemming from the revised MCA has also spread to rating agencies. India Ratings and Research (Ind-Ra) feels the changes will help increase BOT’s share in projects to 20% in FY25 from zero

in FY24. It estimates the capital expenditure requirement under this mode to range between ₹40,000-50,000 crore in FY25, and it believes the figure could rise steadily to ₹1 lakh crore by 2030.

CareEdge Ratings, too, expects a shift in preference from EPC towards HAM and toll projects in the medium term. It feels the share of EPC projects could reduce to around 25-30% going forward.

This shift couldn’t be more timely. As mentioned earlier, NHAI is grappling with a lot of debt. So much so that it has been stopped from borrowing from the market. It is now looking to lighten the burden by monetising assets and getting private investments.

One of the significant features of the revised MCA is the new termination payment regime, whereby 90% of the debt is fully covered by the NHAI in case the concessionaire